

ACFN 2017 EXIT EXAM – SESSION 1

Subject 1: Financial Accounting & Reporting

1. When should a receivable be recognized in the financial statements?

- A. When the goods or services are delivered to the customer
- B. When cash is received from the customer
- C. When the invoice is issued to the customer
- D. When the payment terms of the receivable expire

Answer: A

Explanation: According to the revenue recognition principle (under IFRS 15 and similar frameworks), revenue (and the corresponding receivable) is recognized when control of the goods or services is transferred to the customer, which typically occurs upon delivery. This happens regardless of when cash is received.

5. What does the term "debit" indicate in accounting?

- A. Decrease in expenses
- B. Increase in owner's equity
- C. Increase in assets
- D. Increase in liabilities

Answer: C

Explanation: A debit entry increases asset and expense accounts, while it decreases liability, equity, and revenue accounts. Therefore, an increase in assets is a fundamental result of a debit.

8. Company S acquires 80% of the outstanding shares of company T for Birr 800,000. On the date of acquisition, company T's identifiable net assets have a fair value of Birr 700,000. What is the goodwill reported in the consolidated balance sheet on the date of acquisition?

- A. Birr 150,000
- B. Birr 160,000
- C. Birr 50,000
- D. Birr 240,000

Answer: D

Explanation: Goodwill is calculated as the consideration transferred plus the non-controlling interest (NCI) less the fair value of net identifiable assets acquired.

- Consideration Transferred: Birr 800,000
- NCI (20% of Birr 700,000): Birr 140,000
- Total: Birr 940,000
- Fair Value of Net Assets: Birr 700,000
- Goodwill = 940,000 - 700,000 = **Birr 240,000**

13. Assume XYZ Company has 20,000 shares of 1% cumulative preferred stock of \$100 par and 100,000 shares of \$50 par common stock. The following amounts were distributed as dividends: Year 1: \$10,000; Year 2: \$45,000; Year 3: \$80,000. Determine the total amount dividend paid to preferred stockholders in year 2.

- A. \$20,000
- B. \$10,000
- C. \$30,000
- D. \$15,000

Answer: C

Explanation: For cumulative preferred stock, dividends in arrears must be paid before any dividends are paid to common stockholders.

- Annual Preferred Dividend: 20,000 shares * \$100 par * 1% = \$20,000 per year.

- Year 1: Only \$10,000 was paid. Arrears = \$20,000 - \$10,000 = \$10,000.
- Year 2: Preferred shareholders are entitled to the current year's dividend (\$20,000) plus the arrears from Year 1 (\$10,000), totaling **\$30,000**.

17. When preparing consolidated financial statements on the date of acquisition, how are the assets and liabilities of the acquired company typically recognized?

- A. At book value
- B. At zero value
- C. At fair value on the acquisition date
- D. At historical cost

Answer: C

Explanation: On the acquisition date, the assets and liabilities of the subsidiary are consolidated at their fair values. This is a key principle of acquisition accounting (IFRS 3) to reflect the true cost of the acquisition.

20. For the year, Addis Company has cost of goods manufactured of Birr 800,000, beginning finished goods inventory of Birr 150,000, and ending finished goods inventory of Birr 200,000. The cost of goods sold is:

- A. Birr 750,000.
- B. Birr 1,150,000.
- C. Birr 450,000.
- D. Birr 850,000

Answer: A

Explanation: Cost of Goods Sold (COGS) is calculated as: Beginning Finished Goods Inventory + Cost of Goods Manufactured - Ending Finished Goods Inventory.

- $COGS = 150,000 + 800,000 - 200,000 = \text{Birr } 750,000$

21. In exchanges of assets in which the exchange has commercial substance:

- A. Neither gains nor losses are recognized immediately
- B. Gains, but not losses, are recognized immediately
- C. Losses, but not gains, are recognized immediately.
- D. Both gains and losses are recognized immediately

Answer: D

Explanation: If an exchange has commercial substance (meaning the future cash flows change as a result of the transaction), the new asset is recorded at its fair value, and any difference between this fair value and the book value of the old asset is recognized as a gain or loss immediately.

24. The units of an item available for sale during the year were as follows: Jan. 1 Inventory: 6 units at \$5; Mar. 20 Purchase: 14 units at \$55; Oct. 30 Purchase: 20 units at \$62. There are 16 units in the physical inventory at December 31. The periodic inventory system is used. Determine the inventory cost using the first-in, first-out (FIFO) method.

- A. \$992
- B. \$1,240
- C. \$1,070
- D. \$850

Answer: A

Explanation: Under FIFO, the oldest costs are assigned to cost of goods sold first, leaving the newest costs in ending inventory. With 16 units in ending inventory, they are assumed to be from the most recent purchase on Oct. 30 (20 units @ \$62).

- Ending Inventory = 16 units * \$62 = **\$992**

28. When should a receivable be recognized in the financial statements?

- A. When the goods or services are delivered to the customer
- B. When cash is received from the customer

- C. When the invoice is issued to the customer
- D. When the payment terms of the receivable expire

Answer: A

Explanation: (Repeated question, same explanation as #1). Receivables are recognized when performance obligation is satisfied, which is typically upon delivery of goods or services, creating a right to consideration.

33. Equipment purchased on January 01, 2021, for Birr 80,000 was depreciated using the straight-line method based upon a 5-year life and Birr 7,500 residual value. The equipment was sold on December 31, 2023, for Birr 40,000. What is the gain on the sale of the equipment?

- A. Birr 14,500
- B. Birr 36,500
- C. Birr 3,500
- D. Birr 43,500

Answer: C

Explanation:

- Annual Depreciation = (Cost - Residual Value) / Useful Life = (80,000 - 7,500) / 5 = Birr 14,500 per year.
- Accumulated Depreciation (3 years) = 14,500 * 3 = Birr 43,500.
- Carrying Value at sale = Cost - Accumulated Depreciation = 80,000 - 43,500 = Birr 36,500.
- Gain/Loss = Proceeds - Carrying Value = 40,000 - 36,500 = **Birr 3,500 (Gain)**.

36. ABC Co paid \$260,000 cash for a tract of land on which it planned to erect a new warehouse, and paid \$30,000 in legal fees related to the purchase. ABC also agreed to assume responsibility for \$20,000 of unpaid taxes on the property. The Co incurred a cost of \$9,000 to remove an old apartment building from the land. Determine the cost of the land.

- A. \$290,000
- B. \$319,000
- C. \$299,000
- D. \$310,000

Answer: B

Explanation: All costs incurred to acquire the land and prepare it for its intended use are capitalized. This includes the purchase price, legal fees, assumed back taxes, and removal costs of old structures.

- Land Cost = 260,000 + 30,000 + 20,000 + 9,000 = **\$319,000**

40. Which of the following statement describes the percentage-of-completion method in the long-term contract revenue?

- A. Recognizes revenues, costs, and gross profit as a company makes progress toward completion
- B. It accumulates construction costs in an inventory account.
- C. it accumulates progress billings in an inventory account.
- D. Recognizes revenue only to the extent of costs incurred that are expected to be recoverable

Answer: A

Explanation: The percentage-of-completion method (IFRS 15) recognizes revenue, expenses, and profit in proportion to the work completed during the period, providing a more accurate picture of performance over time for long-term contracts.

42. Which inventory Classification represents goods on hand purchased for resale by a retailer?

- A. Work in process inventory

- B. Finished goods inventory
- C. Merchandise inventory
- D. Raw materials inventory

Answer: C

Explanation: For a retail or wholesale business, the inventory held for sale to customers is specifically called "Merchandise Inventory."

48. How is goodwill calculated in the consolidated financial statements on the date of acquisition?

- A. It is calculated as the excess of the consideration transferred over fair value of the subsidiary's identifiable net assets.
- B. It is calculated as the excess of the subsidiary's net income over the parent's net income.
- C. It is calculated as the difference between the parent's book value and the fair value of its investment in the subsidiary.
- D. It is calculated as the difference between the subsidiary's book value and the fair value of its net assets.

Answer: A

Explanation: Goodwill is an intangible asset representing the future economic benefits from assets that are not individually identifiable. It is calculated as: (Consideration Transferred + Fair Value of Non-controlling Interest) - Fair Value of Net Identifiable Assets Acquired. Option A is a simplified but correct description when NCI is measured at its proportionate share of net assets.

49. Which of the following characteristics of dividend payable is different from other current liabilities?

- a. It is a result of long term liabilities.
- b. It is a result of advance service receipt.
- c. It is a result of advance cash receipt.
- d. It is a result of board of directors authorization.

Answer: D

Explanation: Unlike most liabilities that arise from transactions with external parties (e.g., receiving goods, taking a loan), a dividend payable is created by an internal declaration by the company's Board of Directors. It is a distribution of profit, not an obligation from an external transaction.

62. On January 1, 2012, Eba Company acquires Br. 200,000 of Worku, Inc., 8% bonds at a price of Br. 190,052.59. The interest is payable each December 31, and the bonds mature December 31, 2014. The investment will provide a yield of 10%. The bonds are classified as held-for-collection. What is the amount of Bond Discount Amortization recorded on December 31, 2012, if it uses the effective interest method?

- a. Br. 20,000
- b. Br. 3,005.26
- c. Br. 19,005.26

Answer: B

Explanation:

- Cash Received (Coupon Payment) = $200,000 \times 8\% = \text{Br. } 16,000$
 - Effective Interest Revenue = Carrying Value * Market Rate = $190,052.59 \times 10\% = \text{Br. } 19,005.26$
 - Discount Amortization = Effective Interest - Cash Received = $19,005.26 - 16,000 = \text{Br. } 3,005.26$
- This amount increases the carrying value of the investment.

62b. The bond investment which is held for trading strategy is measured at:

- A. Fair Value
- B. Amortized Cost
- C. Both Amortized cost and equity Method
- D. Accumulated cost

Answer: A

Explanation: Under IFRS 9, financial assets classified as "Fair Value Through Profit or Loss (FVTPL)," which includes all held-for-trading securities, are measured at fair value on the balance sheet. All changes in fair value are recognized in the income statement.

Subject 2: Cost and Management Accounting

16. Using the following information: Direct materials standard cost: 5 kg. * Birr 2 per kg. = Birr 10. Total direct materials variance: Birr 15,000 unfavorable. Actual direct materials used: 300,000 kg. Actual units produced: 60,000 units. Compute the total actual cost of direct materials used.

- a. Birr 600,000.
- b. Birr 585,000.
- c. Birr 300,000.
- d. Birr 615,000.

Answer: D

Explanation:

- Standard Cost for Actual Production = 60,000 units * Birr 10/unit = Birr 600,000.
- Total Direct Materials Variance = Actual Cost - Standard Cost.
- 15,000 (U) = Actual Cost - 600,000.
- Therefore, Actual Cost = 600,000 + 15,000 = **Birr 615,000.**

34. In a Company which uses job order costing, when a job is completed, which entry is made to show the completion of the job?

- A. Debit to Finished Goods Inventory and credit to Work in Process Inventory
- B. Debit to Cost of Goods Sold and credit to Finished Goods Inventory
- C. Debit to Finished Goods Inventory and credit to Raw Material Inventory
- D. Debit to Accounts Receivable and credit to Sales

Answer: A

Explanation: When a job is completed, its total cost is moved from the Work in Process (WIP) inventory account (where costs accumulate during production) to the Finished Goods inventory account. The entry is: Debit Finished Goods Inventory, Credit Work in Process Inventory.

37. Which one of the following costs is classified as a period cost for a manufacturer?

- a. Depreciation on factory equipment.
- b. Factory insurance.
- c. Depreciation on Factory building.
- d. Tax accountant salary.

Answer: D

Explanation: Period costs are not tied to production and are expensed in the period incurred. They include selling, general, and administrative (SG&A) expenses. The tax accountant's salary is an administrative cost. Options a, b, and c are all product costs (manufacturing overhead) that are capitalized into inventory.

50. Of the market-based measures of allocating joint costs of production method, which one the following works backward in that the overall gross profit rate is computed first?

- a. Net realizable value method
- b. Sales value at split-off
- c. Physical measure method
- d. Constant gross-margin percentage NRV method

Answer: D

Explanation: The Constant Gross-Margin Percentage NRV method allocates joint costs such that each joint product achieves an identical gross-margin percentage. It works "backwards" by

first calculating the total gross margin and then determining the joint cost allocation for each product.

51. Miami Solar budgets production of 5,000 solar panels in July. Each unit requires 4 hours of direct labor at a rate of \$16 per hour. Prepare a direct labor budget for July.

- A. Birr 300,000
- B. Birr 80,000
- C. Birr 250,000
- D. Birr 320,000

Answer: D

Explanation:

- Total Direct Labor Hours = 5,000 units * 4 hours/unit = 20,000 hours.
- Total Direct Labor Cost = 20,000 hours * \$16/hour = **\$320,000**.

60. A company's predetermined overhead rate is 150% of its direct labor costs. How much overhead is applied to a job that used total direct labor costs of Birr 50,000?

- a. Birr 50,000
- b. Birr 75,000
- c. Birr 65,000
- d. Birr 25,000

Answer: B

Explanation:

- Applied Overhead = Predetermined Overhead Rate * Actual Direct Labor Cost.
- Applied Overhead = 150% * Birr 50,000 = **Birr 75,000**.

63. Which of the following describes the type of budget, a budget prepared by using planned output unit?

- A) Fixed Budget
- B) Static Budget
- C) Flexible budget
- D) Financial Budget

Answer: B

Explanation: A static budget is prepared based on a single, planned level of activity (output). It does not change regardless of actual output. A flexible budget, in contrast, adjusts costs based on the actual level of activity.

65. Compared to the plant wide rate method, activity-based costing usually shifts costs from:

- A. customized to standardized products.
- B. Low-volume to high-volume products.
- C. Complex to simple products
- D. High-volume to low-volume products

Answer: D

Explanation: Plant-wide rates often over-cost high-volume, simple products and under-cost low-volume, complex products. ABC more accurately assigns overhead costs by using multiple cost drivers, which typically results in a cost shift from the high-volume products to the low-volume, complex products.

71. Which of one the following should be done to the book value of the old equipment in a decision to retain or replace equipment? Treating as a (an):

- A) marginal cost
- B) incremental cost
- C) Opportunity cost.
- D) Sunk cost

Answer: D

Explanation: The book value (or carrying value) of the old equipment is a past (historical) cost that cannot be changed by the current decision. It is, therefore, a **sunk cost** and is irrelevant to the decision of whether to retain or replace the equipment. Only future, differential costs and benefits should be considered.

Subject 3: Auditing & Assurance

1. Which one of the following audit procedure is defined as the process of obtaining a representation of information or of an existing condition directly from a third party?

- A. inquiry
- B. Analytical procedure
- C. Inspection of document.
- D. Confirmation

Answer: D

Explanation: Confirmation is a specific audit procedure that involves obtaining evidence directly from a third party (e.g., a bank confirmation for cash balances, or a customer confirmation for accounts receivable).

12. Which of the following statement states the importance of an independent audit to readers of financial statements?

- a. Shows stewardship of the company's management whose financial statements are audited.
- b. Involves the objective examination of and reporting on management-prepared statements.
- c. measures and communicates financial and business data included in financial statements
- d. Reports on the accuracy of all information in the financial statements.

Answer: B

Explanation: The primary importance of an audit is that it provides an **independent and objective opinion** on whether the financial statements prepared by management are free from material misstatement. This enhances the credibility of the statements for users like investors and creditors.

38. Which one of the following is responsible for auditing taxpayers' returns to determine whether they have complied with the tax laws?

- a. Internal auditor.
- b. External auditor.
- c. Chartered certified Accountant
- d. Internal revenue agents.

Answer: D

Explanation: Internal Revenue Agents (or Tax Auditors) are government employees whose specific role is to examine tax returns for compliance with tax laws. External auditors focus on the fair presentation of financial statements, not specifically on tax compliance.

39. Which of the following documents and records is applied for cash disbursements class of transaction in the acquisition and payment cycle?

- A. Acquisitions journal
- b. Check or electronic payment
- C. Accounts payable master file
- D. Accounts payable trial balance

Answer: B

Explanation: The primary document evidencing a cash disbursement is the **check** (or electronic payment record). This document shows the payee, amount, and date of the payment.

45. Which of following definition is applied for directed sample selection in audit sampling?

- A. A non-probabilistic method of sample selection in which items are chosen without regard to their size, source, or other distinguishing characteristics.

- B. A probabilistic method of sampling in which the auditor calculates an interval and selects the items for the sample based on the size of the interval,
- C. A sample in which every possible combination of elements in the population has an equal chance of constituting the sample
- D. A non-probability method of sample selection in which each item in the sample is selected based on some judgmental criteria established by the auditor.

Answer: D

Explanation: Directed sample selection is a non-statistical (judgmental) approach where the auditor uses their judgment to select items that are of specific interest, such as high-value items or items from a particular time period.

46. Which of the following is identified as the business Functions used for sales class of transaction in the Sales and collection cycle?

- A. Providing for bad debts
- B. Processing and recording cash receipts
- C. Processing and recording sales returns and allowances
- D. Granting credit

Answer: D

Explanation: "Granting credit" is a key business function within the sales cycle. It is an authorization control that occurs *before* a sales transaction is finalized and recorded. The other options are related processes that happen after the sale.

52. In Audit Sampling for Test of Control and Substantive Test of Transactions, Selecting the sample is performed in:

- A. Select the Sample and Perform the Audit Procedures step
- B. Plan the Sample step
- C. Analyze exceptions step
- D. Evaluate the Results step

Answer: A

Explanation: The audit sampling process generally involves three steps: 1) Plan the Sample (determine objectives, size, method), 2) **Select the Sample and Perform the Audit**

Procedures (this is where the actual selection and testing happen), and 3) Evaluate the Results.

55. In which of the following engagements an auditor provides a limited level of assurance that the information subject to review is free of material misstatement?

- a. External audit
- B. Review
- C. Compilation.
- d. Agreed upon procedure

Answer: B

Explanation:

- **External Audit:** Provides reasonable (high) assurance.
- **Review:** Provides limited assurance. It involves inquiry and analytical procedures and results in a conclusion that nothing has come to the auditor's attention that indicates material misstatement.
- **Compilation:** Provides no assurance.
- **Agreed-Upon Procedures:** Provides a report of factual findings, not assurance.

61. Which of the following statement demonstrates the transaction-Related Audit Objectives of completeness for Acquisitions of goods and service transaction?

- a. Recorded acquisitions are for goods and services received, consistent with the best interests of the client
- b. Recorded acquisition transactions are accurate
- c. Acquisition transactions are correctly classified
- d. Existing acquisition transactions are recorded

Answer: D

Explanation: The completeness objective asserts that *all valid transactions that occurred have been recorded*. Therefore, option D, "Existing acquisition transactions are recorded," directly addresses this objective.

66. A successor would most likely make specific inquiries of the predecessor auditor about which one of the following?

- A. Specialized accounting principles of the client's industry.
- B. The competency of the client's internal audit staff.
- C. Disagreements with management as to auditing procedures.
- D. the uncertainty inherent in applying sampling procedures.

Answer: C

Explanation: A successor auditor is required to communicate with the predecessor auditor. Key inquiries include information that might bear on the integrity of management and the client, such as **disagreements with management** over accounting principles, auditing procedures, or other similarly significant matters.

73. Which of the following statement explains the transaction Related Audit Objective of accuracy for sales transaction?

- a. Recorded sales are for shipments actually made to no fictitious customers.
- b. Existing sales transactions are recorded,
- c. sale are recorded on the correct dates.
- d. Recorded sales are for the amount of goods shipped and are correctly billed and recorded.

Answer: D

Explanation: The accuracy objective deals with transactions being recorded at the correct amounts. Option D explicitly states that the recorded amount matches the amount of goods shipped and billed, which is the core of the accuracy objective.

Subject 4: Finance & Financial Management

6. A current asset financing policy under which the working capital is primarily financed by long term sources.

- a. Conservative policy
- b. Matching policy
- c. Hedging policy
- d. Aggressive policy

Answer: A

Explanation: A **conservative** financing policy uses long-term funds to finance all permanent assets (both fixed and permanent current assets) and also some part of the temporary current assets. This reduces risk (liquidity risk) but increases cost (as long-term funds are generally more expensive).

7. Electronics Galore has 950,000 shares of common stock outstanding at a market price of \$11 a share. The company also has market value of \$4,200,000 outstanding bonds. What weight should be given to the debt when the firm computes its weighted average cost of capital?

- a. 40.22 percent
- b. 27.47 percent
- c. 32 percent
- d. 28.66 percent

Answer: D

Explanation:

- Market Value of Equity (E) = 950,000 shares * \$11 = \$10,450,000
- Market Value of Debt (D) = \$4,200,000

- Total Capital (V) = E + D = \$14,650,000
- Weight of Debt (Wd) = D / V = 4,200,000 / 14,650,000 $\approx$ **0.2866 or 28.66%**

10. A firm has a degree of financial leverage of 5.5. What does this tell us about the firm?

- a. If sales rise by 5.5%, then EBIT will rise by 1%
- b. If EBIT rises by 5.5%, then EPS will rise by 1%
- c. If EBIT rises by 1%, then EPS will rise by 5.5%
- d. If sales rise by 1%, then EPS will rise by 5.5%

Answer: C

Explanation: The Degree of Financial Leverage (DFL) measures the sensitivity of Earnings Per Share (EPS) to changes in Earnings Before Interest and Taxes (EBIT). A DFL of 5.5 means that a 1% change in EBIT will result in a 5.5% change in EPS.

23. The capital market facilitates the trading of:

- a. Government issued currency
- b. Long-term financial securities
- c. Short-term debt instrument
- d. Everyday goods and services

Answer: B

Explanation: Capital markets are for long-term securities (maturity > 1 year), such as stocks and bonds. Short-term debt instruments (maturity $\leq$ 1 year) are traded in the money market.

26. What is the main purpose of the Miller and Orr model?

- a. To identify the optimal level for cash balances with uncertainty
- b. To determine a firm's optimum cash balance with certainty
- c. To predict the likelihood of bankruptcy
- d. To determine the optimal time to invest in a project

Answer: A

Explanation: The Miller-Orr model is a cash management model that deals with **uncertainty** in cash flows. It sets an upper and lower limit for cash balances and a return point, helping firms manage cash efficiently when daily cash flows are unpredictable.

31. What is the main function of the stock market:

- a. facilitating travel between countries
- b. simplifying companies to raise capital by selling shares
- c. providing loans to businesses
- d. managing government debt issuance

Answer: B

Explanation: The primary function of a stock market (a part of the capital market) is to provide a platform for companies to raise equity capital by issuing shares to the public (primary market) and for investors to trade those shares (secondary market).

43. Liquidity Preference Theory stated that:

- a. There is no relationship between liquidity and return
- b. Investors prioritize liquidity over higher returns
- c. More liquid assets offer higher potential returns
- d. Less liquid assets are generally more liquid

Answer: B

Explanation: Liquidity Preference Theory, in the context of investment, suggests that investors generally prefer to hold more liquid assets and will only invest in less liquid, longer-term instruments if they are compensated with a higher return (a liquidity premium). Thus, they "prioritize liquidity."

44. When evaluating mutually exclusive projects, it's best to choose the one with the:

- a. Highest NPV or IRR
- b. Shortest project duration

- c. lowest initial investment
- d. Highest payback period

Answer: A

Explanation: For mutually exclusive projects (where you can only choose one), the Net Present Value (NPV) rule is paramount. You should choose the project with the highest NPV. While IRR is useful, it can be misleading with mutually exclusive projects. The key is to maximize value, which is what NPV measures.

54. Which one of the following is a Money market security?

- a. debenture
- b. bond
- c. Treasury bill
- d. Common Stock

Answer: C

Explanation: Money market instruments are short-term, highly liquid debt securities with maturities of one year or less. Treasury bills are a classic example. Debentures, bonds, and common stock are all long-term capital market instruments.

67. Which of the following is true about unsystematic risk?

- A. is measured by beta
- B. can be effectively eliminated by portfolio diversification
- C. is measured by standard deviation
- D. is compensated for by the risk premium

Answer: B

Explanation: Unsystematic risk is specific to a company or industry. Because these risks are independent across companies, they can be diversified away by holding a well-diversified portfolio. Beta measures systematic (non-diversifiable) risk.

70. What is the defensive tactics that a target company in a hostile takeover uses to resist the proposed business combination through amendment of the articles of incorporation or bylaws to make it more difficult to obtain stockholder approval for a takeover?

- A. Poison pill
- B. Greenmail
- C. Scorched earth
- D. White knights

Answer: A

Explanation: A **poison pill** (or "shareholder rights plan") is a tactic where the target company amends its corporate charter to make itself less attractive or more difficult to acquire without the board's approval, for example, by allowing existing shareholders to purchase additional shares at a discount if a hostile bidder acquires a certain percentage of shares.

72. In using the percentage of sales forecasting method the assumption is that:

- A. there is a direct relationship between long-term debt and sales
- B. contributed capital will increase proportionately with sales
- C. inventories will increase proportionately with sales
- D. there is a direct relationship between notes payable and sales

Answer: C

Explanation: The percentage of sales method is a simple approach for forecasting financial statements. It assumes that most balance sheet items, especially **current assets and current liabilities** like inventory and accounts payable, vary directly with sales. Long-term debt and equity are typically not assumed to spontaneously increase with sales.

Subject 5: Taxation & Regulation

4. All of the followings are categories of income exempted from employment income tax, except;

- A. Pension, provident fund and all other retirement benefit (up to 15% of the monthly salary of employee)
- B. Employee's Basic salary
- C. Gratuity in relation to the death of another person
- D. Casual employees (who do not work under the same employer for more than one month in a year)

Answer: B

Explanation: An employee's basic salary is the core component of employment income and is fully taxable. The other options represent specific exemptions as per typical tax laws.

18. Which of the following statement is/are not true about public and private finance?

- a. The government has a right to print currency which is legal, whereas private individual does not enjoy such a right
- b. Government cannot use coercive methods to raise his income, whereas an individual can use forceful methods to collect revenue
- c. Private cannot use coercive methods to raise his income, whereas government can use forceful methods to collect revenue.
- d. The pattern of expenditure of an individual is governed by habits, customs, status, personal needs, whereas the pattern of public expenditure is governed and controlled by deliberate economic policy of the government

Answer: B

Explanation: Option B is false. In reality, the opposite is true: the government *can* use coercive power (like the legal authority to impose taxes) to raise revenue, while a private individual cannot use force.

27. Income Taxes Currently Payable is:

- a. Income Taxes Currently Payable
- b. Deferred income tax liability
- c. Current tax expense
- d. Income Tax Expense or Benefit

Answer: A

Explanation: "Income Taxes Currently Payable" is the actual tax liability owed to the government for the current year, based on the tax return. It is a balance sheet liability account. "Current Tax Expense" is the income statement line item that recognizes this obligation.

29. Which one of the following is not a source of revenue assigned to the federal government in Ethiopia?

- a. Income tax collected from employees of the Federal Government and international organizations
- b. Taxes collected from national lotteries and other games of chance
- c. Profit and sales taxes collected from individual traders operating within state/regional government territories
- d. Taxes collected from income generated through air, rail, and sea transport services

Answer: C

Explanation: Based on the Ethiopian constitution and revenue assignment proclamations, taxes from individual traders operating within a state/region are typically a source of revenue for the State/Regional governments, not the Federal government.

41. A form of taxation that is basically imposed on the services given to individuals through affixing seals on documents is known as:

- A. Customs Duties Tax
- B. Withholding Tax

- C. Foreign Trade Taxes
- D. Stamp Duties Tax

Answer: D

Explanation: Stamp duty is a tax levied on legal documents, typically by physically or electronically affixing a stamp to the document to make it legally valid. It is applied to instruments like contracts, deeds, and receipts.

53. Which of the following is categorized as a deductible temporary difference?

- A. Sales accounted for on the accrual basis for financial reporting purposes and on the installment (cash) basis for tax purposes,
- b. Investments accounted for under the equity method for financial reporting purposes and under the cost method for tax purposes
- C. Prepaid expenses that are deducted on the tax return in the period paid
- d. Bad debt expense recognized using the allowance method for financial reporting purposes, direct write-off method used for tax purposes.

Answer: D

Explanation: A deductible temporary difference results in amounts that will be deductible in future tax returns. Here, the allowance for bad debts creates an expense for financial reporting before it is allowed for tax purposes (under the direct write-off method). This means a higher carrying value of